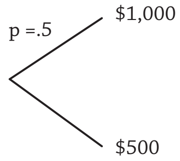
This question is pretty meaningless for most people. I don't describe myself using CRRA utility in equation (2.1) and rattle off a risk aversion parameter (but yes, some of my academic colleagues can). We can, however, estimate risk aversion levels indirectly. Suppose I gave you the following lottery:



where you can win $1,000 with 50% probability or win $500 with 50% probability. That is, you will get $500 for sure, but you have the possibility of winning $1,000. How much would you pay for this opportunity? The real-life counterparts to this lottery are financial advisors' questionnaires that try to infer clients' risk aversion.[8]

We can map what an investor would pay against the investor's degree of risk aversion, γ. (We compute this through a *certainty equivalent*, and we detail this concept further when we discuss mean-variance utility below.) The following table allows us to read off risk aversion levels as a function of the amount you would pay to enter the gamble:

Risk Aversion γ	**Amount You Would Pay**
0	750
0.5	729
1	707
2	667
3	632
4	606
5	586
10	540
15	525
20	519
50	507

An individual not willing to risk anything—you get $500 for sure—is infinitely risk averse. An individual willing to pay the fair value of the gamble, which is $750, is risk neutral and has a risk aversion of $\gamma = 0$. If an investor is willing to risk more than the fair value, then she is risk seeking.

Most individuals have risk aversions between 1 and 10; it's very rare to have a risk aversion greater than 10. That is, most people would be willing to pay

[8] Some of these are covered, along with other techniques to elicit clients' risk aversions, in "Stay the Course," Columbia CaseWorks, ID#110309. See also Grable and Lytton (1999).